

Unit 8. Internationalization

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- 8.2. Global competition
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Unit 8. Internationalization

LEARNING OBJECTIVES

1. To discover the drivers of international businesses
2. To understand the way in which multinational companies compete
3. To choose the best way to enter international markets
4. To analyze the main issues managing a MNC



8.1. The Multinational Company

MNC

When a firm operates (selling and/or producing) in two or more countries, with the majority of revenues and/or profits from foreign markets, and under a global visión-perspective

MULTINATIONALITY LEVEL DEPENDS ON:

**NUMBER OF
COUNTRIES**

**WEIGHT FOREIGN
ACTIVITIES**

IT INCLUDES:

- **Unit 5: International Competition**
- **Unit 6: Directions of Development: Specialization, Diversification, Vertical Integration, ...**
- **Unit 7: Entry Methods to Foreign Markets: Export, Internal Growth, International M&A, International Alliances (Franchises, Licenses, Joint-Ventures, ...)**



8.1. The Multinational Company

DRIVERS

INTERNAL

COST REDUCTION

**LARGE MINIMUM
EFFICIENT SIZE**

SEARCH FOR RESOURCES

**EXPLOITATION OF FIRM'S
RESOURCES & CAPAB**

RISK REDUCTION

EXTERNAL

**INDUSTRY-COUNTRY LIFE-
CYCLE**

**SEARCH FOR EXTERNAL
DEMAND**

FOLLOW THE CUSTOMER

COMPETITIVE PRESSURE

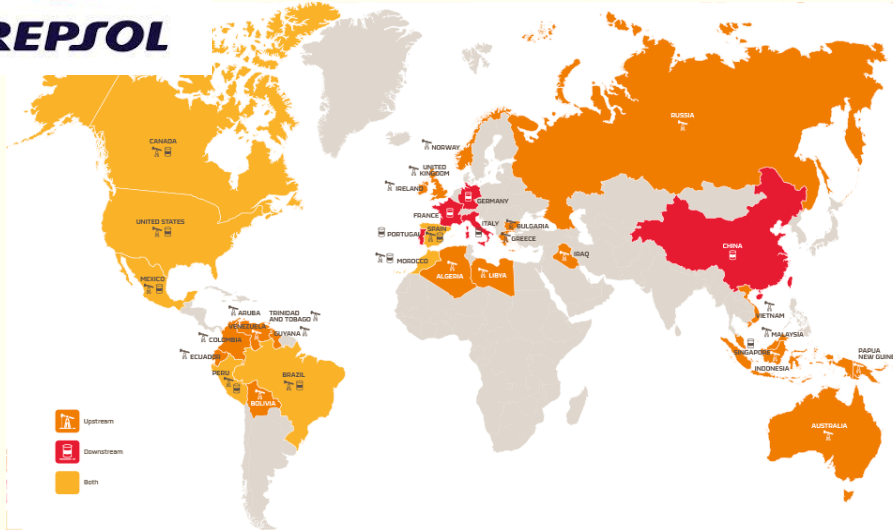
**GLOBALIZATION OF THE
INDUSTRY**



Exhibit 8.1



Internal Circumstances



ZARA

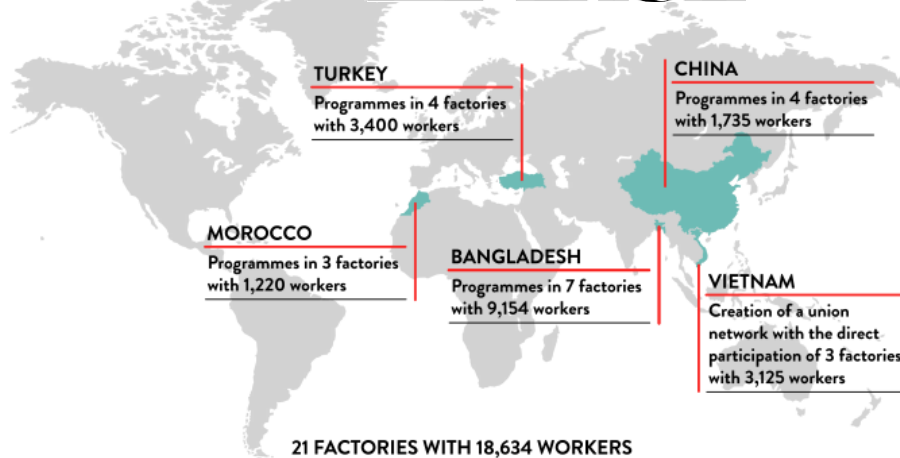


Exhibit 8.2

External Circumstances

BUFETES ESPAÑOLES EN CHINA

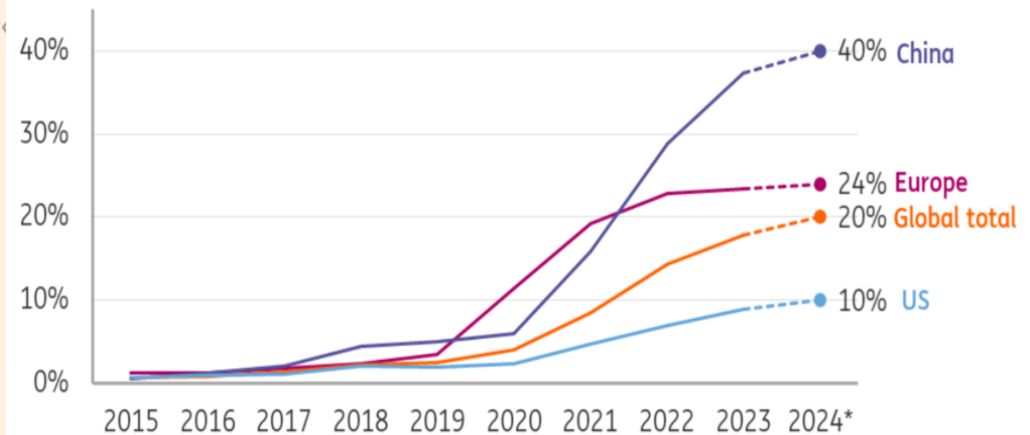


Fuente: Elaboración propia

Expansión

China way ahead in electrification, while Europe and the US face stagnation in 2024

Share of electric vehicles (BEV + PHEV**) in total new car registrations per region

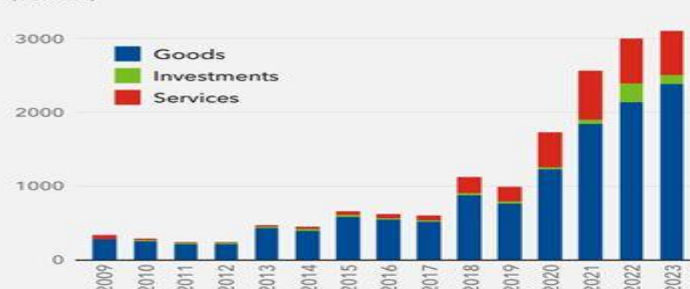


Source: BNEF, ING Research *forecast. **PHEV make up around 30% of global EV-sales

THE GLOBAL BACKDROP

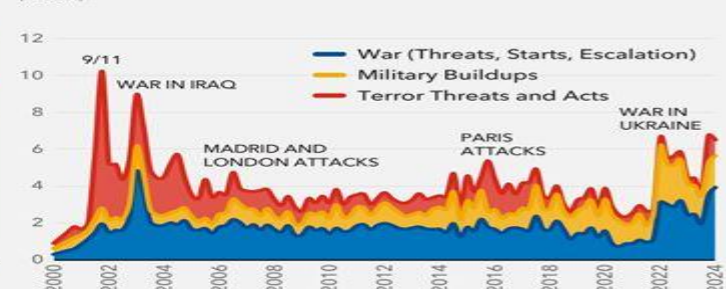
TRADE RESTRICTIONS HAVE INCREASED SHARPLY ALONGSIDE GEOPOLITICAL RISK.

TRADE RESTRICTIONS (NUMBER)



Source: Global Trade Alert
Note: Data accessed March 6, 2024; includes adjustment for reporting lags.

GEOPOLITICAL RISK (INDEX)



Source: Caldara, Dario, and Matteo Iacoviello. "Measuring geopolitical risk." American Economic Review 112.4 (2022): 1119-1225.

8.2. Global Competition

COMPETITIVE STRATEGIES FOR INTERNATIONAL COMPETITION (Dess et al., 2014)

DEPENDS ON:

COST REDUCTION PRESSURES

- Cheapest Geographic location
- Standardization of Products

OPPOSITE

LOCAL ADAPTION PRESSURES

- Each country: Different Strategy
- Changes in Product, Marketing, HHRR, Operations...

***THEIR COMBINATION OFFERS FOUR WAYS FOR
INTERATIONAL COMPETITION***

Global

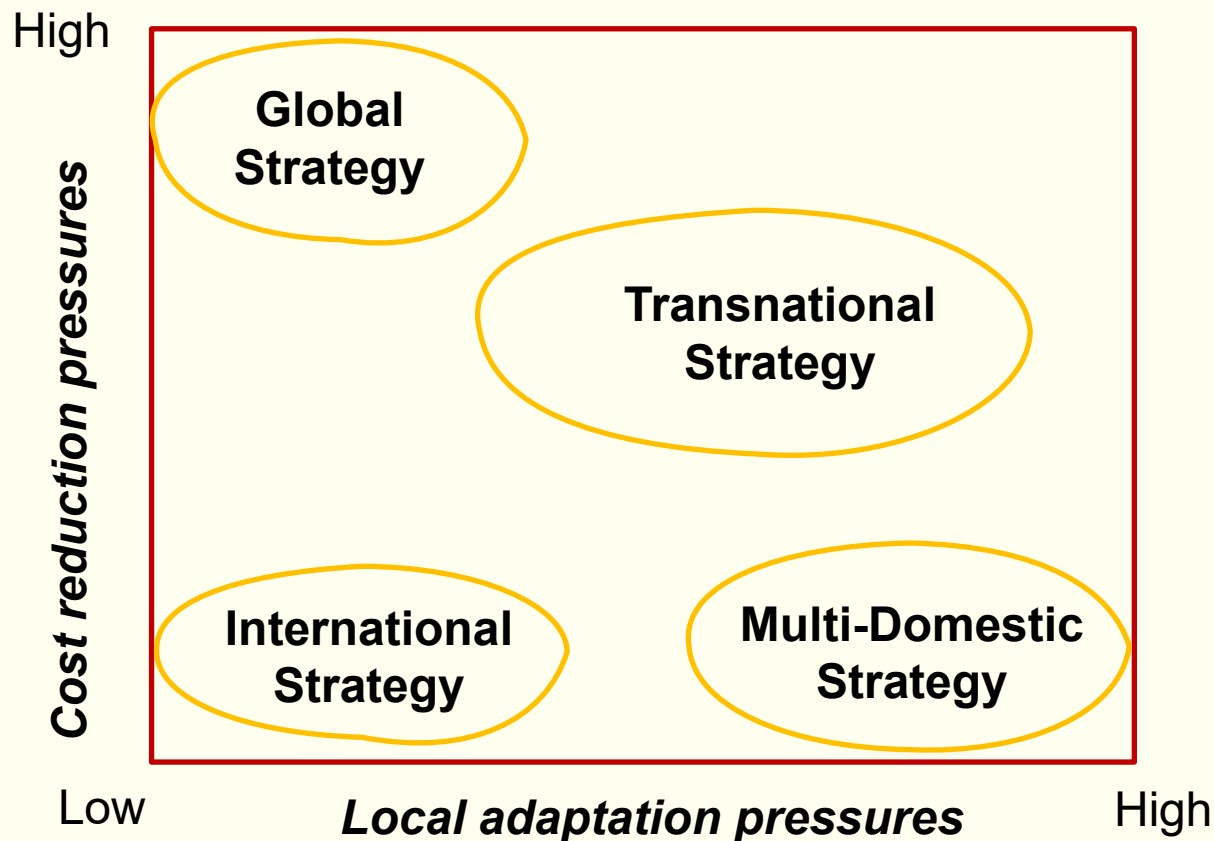
Transnational

International

Multi-Domestic

8.2. Global Competition

COMPETITIVE STRATEGIES FOR INTERNATIONAL COMPETITION (Dess et al., 2014)



8.2. Global Competition

COMPETITIVE STRATEGIES FOR INTERNATIONAL COMPETITION (Dess et al., 2014)

Global

Emphasis → Lowering costs; Standardization of products; Production Centralized; Economies of Scale; High integration & coordination of activities

Multi-Dom

Emphasis → Product differentiation to adapt each country; Decentralization of Operations; Considering social, economic, demographic factors.

TransNac

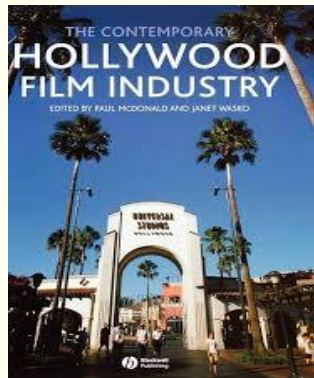
Emphasis → Balance Efficiency & Local Adaptation; Think globally, act locally; Location activities depending on priority

Internation

Emphasis → Segment differentiation (luxury); Production concentrated in a single country; No pressure for cost reduction or local adaptation

Exhibit 8.3

Competitive Strategies for International Markets



High

Cost reduction pressures

Global Strategy

Transnational Strategy

International Strategy

Multi-Domestic Strategy

Low

Local adaptation pressures



8.3. Entry Modes Internat. Markets

DENDENS ON: TARGET COUNTRY (Navas & Guerras, 2018):

Country Features

- **Macroeconomic Conditions**
- **Growth Expectations**
- **Country risk: Political and economic**

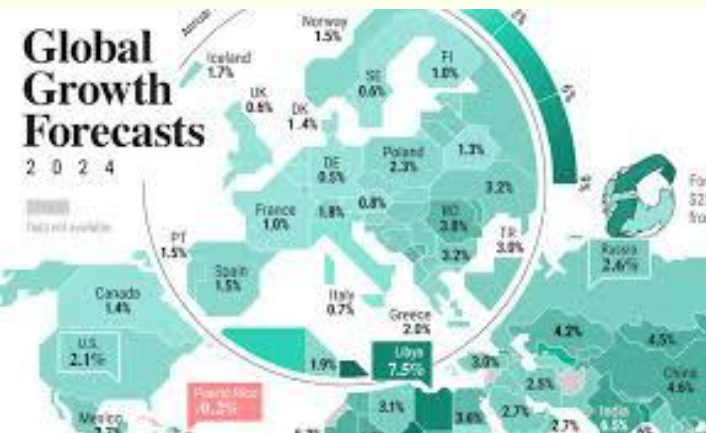
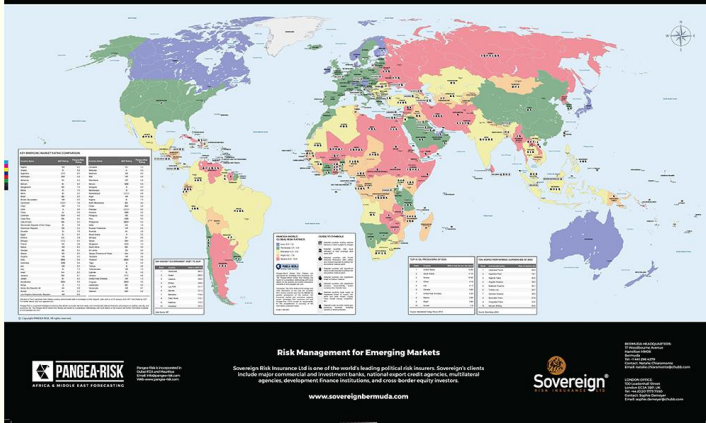
Difficulties Operating

- **Need for product adaptation**
- **Cultural Gap-Distance**
- **Local competitive conditions**

Exhibit 8.4.

Target Country

GLOBAL POLITICAL RISK MAP 2024



Spain ✕

United States ✕

57
40
Power Distance

51
91
Individualism

42
62
Masculinity

86
46
Uncertainty Avoidance

48
26
Long Term Orientation

44
68
Indulgence

8.3. Entry Modes Internat. Markets

DENDENS ON: ENTRY MODE (Navas & Guerras, 2018):

Export

Direct, Indirect

Production at home country

Simplest, conservative

Transportation costs

Tariffs

SMEs, High country risk, not pressures to produce abroad, typical Agrifood

Contractual Agreement

Licencing, Franchising

No capital contributed

Cheap, access local knowledge, low risk, low commitment complementary

Trojan horse, lack of control internaliz, difficult coordination

Services, no financial strength

Direct Investment

Joint-Ventures, Subsidiaries, M&A

Capital Investment, Greater risk and commitment

Access local partner knowledge, shared risks, protection of technology

Trojan horse, high cost and risks

Large companies protecting/accessing knowledge

Exhibit 8.5

Entry Mode



8.4. Managing issues at MNCs

Functional Strategies....

OPERATIONS STRATEGY

Location of activities

Offshoring

Single or Multi-Plant

HUMAN RESOURCE STRATEGY

Expatriates

Cultural diversity abilities

MARKETING STRATEGY

Branding

Price discrimination

Placement

Even Organizational Design....

ORGANIZATIONAL STRUCTURE

Holding, Divisionalized

Power delegation

ORGANIZATIONAL STRUCTURE

Cultural values